Nadu on this question the Indian government would have to take even greater care that it is in no way perceived by the Sri Lankans as endorsing the separatist movement. Any ambivalence on this score would not only undercut Jayewardene's position and weaken his hands vis-a-vis the hardliners within his own party and Sinhalese chauvinist groups in general but would also affect the overall tenor of our relations with Sri Lanka.

The MEA believed that relations with Sri Lanka would continue on an even keel and at the moment no major problems existed. The only outstanding problem, it believed, was the question of stateless persons of Indian origin, as a certain number of persons who were to be covered under the agreements signed in 1978 still remained stateless.

In 1983, the R&AW trained and financed Prabhakaran's LTTE that was fighting the Sri Lankan government in the north and east of the island to establish a separate Tamil state. Prabhakaran, then 31, was authoritarian. He headed the insurgent force of three thousand cadres which sought to portray itself as a guardian of the Tamil interest in Sri Lanka. CIA intelligence operatives believed that the most important Indian aid was the grant of sanctuary in Tamil Nadu to train the insurgents and maintain a smuggling operation to finance terror activities. The American agency also remarked that each main Tamil insurgent group of Sri Lanka enjoyed close ties to ministers in the Tamil Nadu state government. The Americans were wary of extending support to the Sri Lankan government against the Tigers, as they believed India had invested heavily in brokering peace between the Tamils and Sri Lanka. It maintained however, that New Delhi's policy under the